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Chapter I.

Introduction

The main focus of this dissertation is the conceptualization of state revenues and expenditures by using labor theory of value categories. Within the proposed conceptual framework, it will be possible to deal with the role of the state in the distribution process vis-a-vis the working class in the United States for the period 1952-1980. The crucial question asked is the following: What is the net impact of the distributive activities of the state on the economic well-being of the working class as a whole and that of productive workers? In answering the second part of the question, a method of calculating the rate of surplus-value will be developed so that the effect of the state's distributive activities on the rate of surplus-value can be empirically demonstrated. The empirical findings of the study will also enable us to determine whether there is any objective basis for claiming the existence of a welfare state in the United States. The conceptual framework proposed in this dissertation can also be considered as a first step in dealing with the economic activities of the capitalist state in relation to its influence on the process of capital accumulation. It seems that a lack of well-developed conceptual framework based on the Marxist labor theory of value has led

to a situation in which the once useful concept of the 'relative autonomy of the state' has become operationally meaningless jargon.

Within economics, even among Marxist economists, it is the Keynesian theory of the state which dominates the discussion. This theory, I would argue, has its roots in orthodox economic conceptions of accumulation and crises. In theory, according to this line of thought, the fiscal policies of the state can satisfactorily resolve crisis situations; no mention is made of the capitalist economy's structural limitations. In practice, however, this approach and its application since World War II have arrived at stagflation, i.e., high inflation and unemployment at the same time. The post-war economic practice of Keynesian policies has been to keep increasing government expenditures with the aim of achieving high levels of output and employment. At the same time, however, the rate of growth has been slowing down and inflation has been increasing. Additional attempts by the state to mitigate the effects of decreasing rate of growth on employment and output appear to make the conditions worse and consequently lead to stagflation. In principle, Keynesian policy should be able to avoid these problems. Therefore, the existence of stagflation is often blamed on an inadequate application of Keynesian policies. I would argue, however, that the source of the problem is not

the application but the theory itself. The cure suggested by the theory, namely, to increase state expenditures (employment or buying goods and services), becomes itself a fetter on capitalist expanded reproduction since the funds for those expenditures themselves are also the only necessary source for economic growth. A lack of understanding of the limits of the economic activities of the capitalist state is the fundamental shortcoming of Keynesian economics.

Hence, our starting point is a recognition of the fact that there is a need for a conceptual framework to theoretically and empirically analyze the distributive activities of the state. The only alternative is to accept the dominance of Keynesian economics over the Marxian attempts to develop analyses of the capitalist state within the process of capital accumulation. Once the questions are formulated, the next step is obviously to situate our own approach within the ongoing debate on the role of the capitalist state. This is done in Chapter II. However, paradoxically, the richness and repetitiveness of the debate make it impossible to review the whole literature in this area. The latter fact and also methodological necessity led us to look at the existing literature from the standpoint of the 'plan problem'. The choice is not arbitrary, rather a methodologically justified one. Since our intent is to propose a conceptual framework based on Marx's labor theory

of value, Marx's own project of economic work and its incomplete status have some implications for our topic. In other words, to deal with the issue of the capitalist state within the Marxist framework first requires us to locate the object of analysis, namely, the state in Marx's project, and then relate it to the theoretical premises of his work. If this is the task, then the former necessitates a discussion of the 'plan problem' in relation to the state which also offers us methodological insights. And latter requires us to develop the conceptual framework within the context of labor theory of value and its categories.

Our review of the literature established that the emphasis is so far on the political and sociological aspects of the capitalist state. On the economic side, especially in relation to the focus of this study, the welfare state approach, whose main category is social-wage, is of particular importance. For that reason, three representatives, Ian Gough, Herbert Gintis and Sam Bowles, are discussed both in Chapter II and again after developing our analysis in Chapter V.

Clearly, once the theoretical basis of the study is chosen as Marx's labor theory of value, then within that framework certain issues specifically related to our topic must be dealt with. The theoretical elements especially crucial for us are productive and unproductive labor and the circuit of capital. Both are

treated in Chapter III. The criteria for productive and unproductive labor are discussed and developed mainly for two reasons: first, as an empirical framework in which wage funds can be classified as variable capital and surplus-value, and second, to enable us to classify state revenues and expenditures which are respectively collected out of such wage funds and contributed to them. Later in Chapter III, the general discussion of productive and unproductive labor is also narrowed down and concretized in relation to the calculation of the rate of surplus-value and the production and consumption of military goods. The circuit of capital, on the other hand, is necessary for our theoretical framework because it helps us to schematically situate the distributive activities of the state as subcircuits of the general circuit of capital. In this way, the flows between the state and various segments of the society can be clearly seen.

Chapter IV is in a way the core part of our argument since the previous theoretical discussions and criticisms of the literature need to be applied to United States data. As noted at the beginning of the Introduction, the fundamental question raised is how the state directly participates in the distribution process vis-a-vis the working class and what effect such participation has on the rate of surplus-value. In dealing with such a question at an empirical level, one

obviously needs an operational concept which measures the net impact of state activities in taxation and expenditures on the working class as a whole. The concept proposed in this thesis is that of the 'net tax', meaning taxes paid by workers to the state minus benefits and income received from it. Regarding the effect of the state distributive activities on the rate of surplus-value, it is necessary to find out the portion of net tax paid exclusively by productive workers since it is the labor time of these workers that yields variable capital. Both of these aspects of our fundamental question will be discussed, formulated and empirically illustrated in the context of the United States for the period 1952-1980 by using National Income and Product Accounts data.

The perspective of social-wage is directly related to the issues regarding the economic role of the state vis-a-vis the working class, about which our theoretical framework and empirical findings are presented in Chapters II through IV. In Chapter V, from the standpoint that is developed in the first four chapters, Ian Gough's The Political Economy of Welfare State (1979), and Herbert Gintis' and Sam Bowles' "The Crisis of Liberal Democratic Capitalism: The Case of the United States" (1982A) are critically reexamined.

In the Conclusion, it is indicated that there is a need for extending both the theoretical framework and

the empirical approach over the distributive activities of the state vis-a-vis the capitalist class; so that not only the state's own absorption of wealth can be identified, but also the overall effect of the economic role of the state on capital accumulation can be properly dealt with. Only then, the increasing importance of the state as the 'crisis manager' and its systemic limitations will be addressed.